International Container Terminal Services, Inc. ICT

October 08, 2026 - 9:05pm EST
by ccless1

			2026	2027
Price:	841.50	EPS	0	0
Shares Out. (in M):	2,022	P/E	0	0
Market Cap (in $M):	26,976	P/FCF	0	0
Net Debt (in $M):	0	EBIT	0	0
TEV (in $M):	0	TEV/EBIT	0	0

Description

This is a relatively simple model that has been a great compounder for me over the years. Great EM exposure as well.

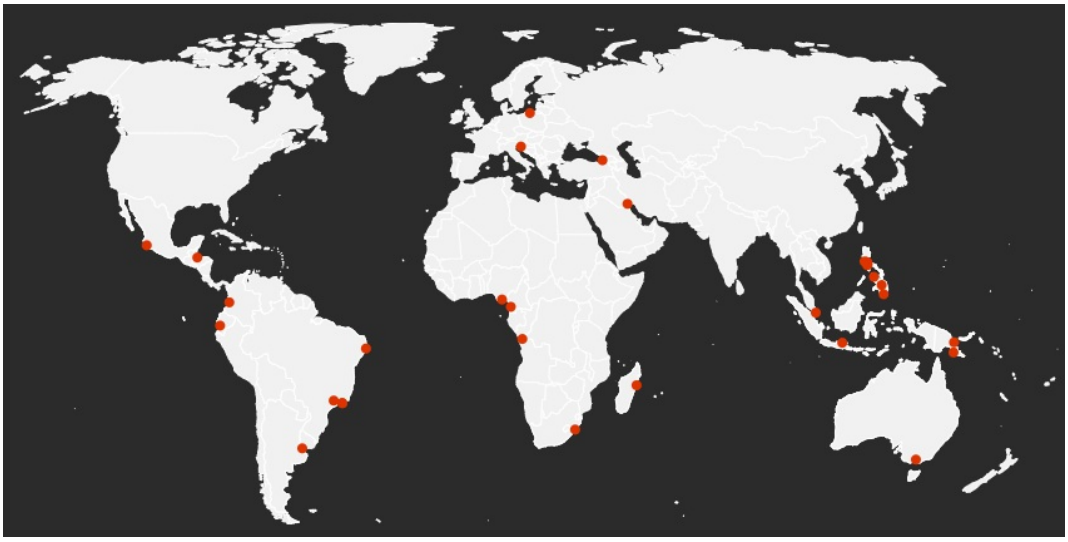
International Container Terminal Services manages, operates, and develops container terminals. Its portfolio currently consists of 34 different terminals situated mostly in emerging markets. Here's how the model works.

A Port Authority (PA) indicates that it's open to having a third party operate a container terminal and either begins negotiations with a specific counterparty or initiates a competitive procurement process. In the latter case, bidders are evaluated based on their operational track records, technical capabilities, and (in some cases) their ability to make investments in the terminal that the PA would like to see. Once a bidder is selected, the PA gives it the right to operate and manage the terminal for a finite period, typically 25-30 years. The bidder then pays upfront fees to win the contract, fixed annual fees, and (in 70% of cases) variable fees based on either TEU volume or a percentage of the terminal’s revenue.

A terminal operator makes its money by operating these terminals and collecting fees from shipping lines and cargo owners for services related to processing cargo containers. The five major service buckets are as follows:

1. Transporting containers from ship to shore
2. Taking cargo through customs clearance
3. The provision of temporary storage for containers
4. The stuffing, stripping, and inspection of containers
5. Tax services

There's a bit of variation in the exact fee level that ICT can charge as well as the rate at which it can increase fees, but a good rule of thumb is to think of increases as being tied to inflation in most of its geographies.



With that background, I think the attractive nature of ICT's strategy begins to become more clear. Here are the main points:

- ICT tries to operate in purely in Origin and Destination (O&D) locations, that is, locations where the cargo is either beginning its journey or ending its journey. This is very important, because it's only at these locations that cargo needs to actually be processed (vs transshipment terminals, where cargo is simply transferred from one ship to another). In general, origin locations yield less than destination locations because imports require more processing than exports, and ICT has taken care to try to optimize this mix as well: 85% of its volumes are imports, only 15% exports.
- Choosing locations with inelastic demand: Most of ICT's terminals are in places with low manufacturing bases and high consumption. The idea is to acquire terminals in areas where the hinterland isn't able to support itself without imports. Think places like Iraq, Georgia, etc. Additionally, ~90% of the products they process are nondiscretionary. This combo has allowed the company to weather economic disruption very well-- volumes declined less than 10% during the GFC, and were flat through COVID.
- Finally, mgmt specifically targets underperforming and underinvested assets, of which there are many in these geographies (e.g., mgmt indicated to us that

when they acquired their Madagascar terminal, everything was being tracked on paper index cards). Acquiring these assets allows ICT to pick a lot of low-hanging fruit by streamlining operations, upgrading operating systems and equipment, and pushing great operating practices (e.g., preventative maintenance), which allows them to increase crane productivity and yard utilization materially. The company also leverages its scale to get better terms on insurance and financing than the terminal could get on its own and tries to reconfigure a terminal's customer base to optimize for yield (e.g., at their Ecuador facility they replaced a bunch of low-margin volume with higher-yield Asian imports, which resulted in a yield increase of 31% for the terminal). All this takes 3-5 years to fully implement and allows the company to get IRRs in the high-teens from these assets. Finally, it should be noted that over time mgmt has jettisoned underperforming terminals and will continue to do so when they feel it is necessary.

This strategy has yielded excellent results over time: since 2016, revenue has grown at an 11% CAGR, EBITDA margins have expanded from a mid-40s range to a mid-60s range as the company has executed its turnaround playbook and divested underperforming assets, which has allowed EPS to grow at a 22.8% CAGR.

Moving forward, I expect the company to grow along with the emerging market economies to which it is exposed and their inflation (call that a MSD-HSD CAGR) while also adding and optimizing new terminals (LSD CAGR; 450+ terminal targets remain and the co is trying to add only 1 a year). I also expect the company to continue to pay a dividend, which has historically resulted in a ~2-3% yield. Given that the company is trading at a low-mid 20s PE, that gets you close to a 2 PEGY, which I think is acceptable for this type of defensive growth profile.

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Future terminal acquisitions

Messages

Subject	Why now?
Entry	10/09/2026 01:23 AM
Member	yellow

Thanks for the idea, what you think makes it particularly attractive right now? Also, what happens to FCF if volumes fall by 5% let's say?

Regards